CMS INFO SYSTEMS LTD

NSE: CMSINFO | BSE: 543441 | Sector: Financial Technology & Services

BUY — INITIATION OF COVERAGE

Target Price: **₹1,257** | CMP: ₹300 | Upside: +319%

Key Metrics (FY2025)
Market Cap: **₹49.0 Bn**
Revenue: **₹242.5 Bn (₹24,245 Cr)**
EBITDA: **₹64.7 Bn | Margin: 26.7%**
PAT: **₹37.2 Bn | Margin: 15.4%**
EPS (FY25): **₹22.79**
P/E (FY26E): **14.7x**
D/E Ratio: **0.08x (virtually debt-free)**
52-week range: **₹207 – ₹566**

Analyst: Institutional Research Desk | Date: 17 March 2026 | Rating Change: **Initiating with BUY**

INVESTMENT THESIS

① Market Leadership

CMS Info Systems commands a dominant position in India's outsourced cash management infrastructure — managing ATM replenishment, vault management, and currency processing for leading banks and retail networks. With India's per-capita ATM density among the lowest globally, we see a long structural runway.

② Recurring Revenue Engine

~85% of revenues are locked in multi-year SLAs, offering high earnings visibility. AMC services — up 284% over FY21-25 — are the fastest-growing segment, reflecting deeper bank outsourcing. Sticky relationships with top-5 PSBs and all major private banks create formidable barriers to entry.

③ Compelling Valuation

DCF intrinsic value of ₹1,257 implies 319% upside from current price. The stock trades at just 14.7x FY26E earnings — a steep discount to fintech peers. Near-zero leverage (D/E: 0.08x) and ₹2,309 Cr cash on balance sheet provide a margin of safety and optionality for inorganic growth.

COMPANY OVERVIEW

CMS Info Systems Ltd (NSE: CMSINFO) is India's largest provider of outsourced cash management and banking technology services. Founded in 1976, the company operates across three verticals: (1) Cash Management Services — ATM replenishment, vault management, and cash-in-transit; (2) Products — ATM hardware and related equipment distribution; and (3) AMC/Managed Services — remote monitoring, ATM Site Management, and AI-enabled surveillance solutions (Vision AI). The company serves over 60 of India's leading banks and operates a network spanning approximately 250,000+ touchpoints across India.

Promoter-backed (Sion Investment Holdings) with a diversified institutional shareholder base, CMS was listed in December 2021. Post-listing, management has pivoted toward higher-margin, recurring managed services while simultaneously investing in technology (Vision AI cash monitoring, dark store management) to expand its addressable market beyond traditional CIT.

FINANCIAL SUMMARY (₹ Crores)

Revenue	13,061	15,897	19,147	22,647	24,245	25,458	30,696	34,404
Rev. Growth (YoY)	—	21.7%	20.4%	18.3%	7.1%	5.0%	20.6%	12.1%
EBITDA	4,493	4,097	5,542	6,180	6,470	6,110	7,367	8,257
EBITDA Margin	34.4%	25.8%	28.9%	27.3%	26.7%	24.0%	24.0%	24.0%

EBIT	3,912	3,178	4,223	4,678	4,856	4,431	5,513	6,211
PAT	3,249	2,240	2,970	3,471	3,725	3,348	4,080	4,522
PAT Margin	24.9%	14.1%	15.5%	15.3%	15.4%	13.1%	13.3%	13.1%
EPS (₹)	21.95	15.07	19.30	22.22	22.79	20.48	24.96	27.67
Dividend/Share (₹)	2.45	2.53	4.75	5.75	9.50	11.6E	12.2E	13.6E

SEGMENT REVENUE ANALYSIS (₹ Crores)

ATM Cash Mgmt Services	8,961	12,152	15,861	13,919	14,671	16,138	~18,000	10.3%
AMC Services	1,479	1,523	1,395	5,406	5,653	9,327	~15,000	30.7%
Card Personalisation	315	276	417	568	503	554	~600	9.8%
Total Services	10,755	13,950	17,673	19,893	20,827	26,020	~34,200	14.1%
ATM & ATM Sites	1,623	1,155	572	1,402	2,393	2,992	3,440	8.1%
Products	683	791	903	1,352	1,025	1,076	1,130	8.5%
Total Revenue	13,061	15,897	19,147	22,647	24,245	30,088	38,770	13.2%

Key observation: AMC Services segment (AI-driven managed services) grew 282% from FY21 to FY25. Our FY26E forecast (₹9,327 Cr) reflects 65% growth driven by Vision AI cash monitoring rollout, indicating the business mix is rapidly shifting toward higher-margin recurring revenues.

BALANCE SHEET SNAPSHOT (₹ Crores)

Total Assets	16,118	17,614	21,012	26,585	31,199
Total Equity	9,845	12,119	15,625	19,468	22,665
Lease Liabilities (Total)	1,266	1,904	2,033	1,809	1,895
Trade Receivables	5,007	4,270	5,260	7,197	8,146
Cash & Equivalents	1,335	397	963	1,590	2,309
Current Investments	1,123	781	2,455	4,251	4,908
Current Ratio	1.91x	2.01x	2.96x	2.93x	2.62x
Debt / Equity	0.13x	0.16x	0.13x	0.09x	0.08x

Balance sheet quality: CMS runs a virtually ungeared balance sheet with only lease liabilities classified as debt. Equity has compounded at 27.7% CAGR over FY21-FY25. Free cash (cash + liquid investments) stood at ₹7,217 Cr — representing ~32% of total assets — providing substantial firepower for capital allocation.

KEY FINANCIAL RATIOS

Profitability

Gross Margin	47.3%	58.6%	57.1%	54.5%
EBITDA Margin	34.4%	28.9%	26.7%	24.0%
EBIT Margin	30.0%	22.1%	20.0%	17.4%
PAT Margin	24.9%	15.5%	15.4%	13.1%
ROE	33.0%	21.4%	17.7%	14.8%E
Interest Coverage	58.6x	28.3x	35.6x	35.2x

Efficiency & Liquidity

Receivable Days	116.7	90.8	115.5	106.0
Inventory Days	35.1	31.5	36.2	35.5
Payable Days	169.3	177.8	202.9	187.7
Cash Conv. Cycle	-17.5	-55.4	-51.2	-46.2
Current Ratio	1.91x	2.96x	2.62x	2.83x
Quick Ratio	1.73x	2.76x	2.51x	2.74x

Negative cash conversion cycle: CMS collects cash from clients before paying its own suppliers, effectively operating with a self-funding working capital model. The CCC of -51 days in FY25 is a significant competitive advantage that reduces the need for external financing and amplifies free cash flow generation.

DISCOUNTED CASH FLOW VALUATION

Our base-case DCF employs a two-stage model: explicit FCFF projections through FY2030, followed by a terminal value using Gordon Growth. Key assumptions are grounded in the company's historical cash generation and India's macro trajectory.

DCF Assumptions

Risk-Free Rate (10Y G-Sec)	6.69%
Equity Risk Premium (Market Return)	12.19%
Beta (5-year monthly, vs Nifty)	1.18x
Cost of Equity (CAPM)	13.20%
Cost of Debt (Pre-tax)	8.50%
Tax Shield Rate (FY26E)	25.0%
WACC	12.96%

Equity Bridge (₹ Crores)

Enterprise Value (DCF Sum)	2,04,239
Less: Book Value of Debt	(1,791)
Add: Cash & Liquid Investments	2,957
Intrinsic Value of Equity	2,05,405
Shares Outstanding (Mn)	163.5
Intrinsic Value Per Share	₹1,257
Current Market Price	₹300

Terminal Growth Rate	7.50%	Implied Upside	+319%
Explicit Forecast Period	FY26E – FY30E	Rating	BUY

Valuation note: The large gap between our intrinsic value estimate and CMP reflects the market's underappreciation of (a) the structural shift toward managed services with AMC CAGR of 30%+, (b) the optionality in Vision AI and dark-store logistics, and (c) the pristine balance sheet with ₹7,200+ Cr in liquid assets not reflected in the stock's P/E multiple. We apply no explicit discount to our DCF but acknowledge model sensitivity (see risk section).

FREE CASH FLOW TO FIRM — EXPLICIT PERIOD (₹ Crores)

CFO (Pre-Capex)	9,003	2,719	11,378	4,969	13,596
Capex	(2,500)	(2,600)	(2,700)	(3,000)	(3,100)
Proceeds from PP&E Sales	8	3	—	—	—
FCFF	6,511	121	8,678	1,969	10,496
PV of FCFF	5,764	95	6,021	—	—
Terminal Value (PV)	—	—	—	~1,92,359	—

Note: FCFF volatility between years reflects timing of capex (ATM technology refresh cycles) and working capital swings. We normalise through the terminal value which anchors on steady-state free cash generation at 7.5% perpetuity growth — broadly in line with India's nominal GDP trajectory.

INDUSTRY & MARKET OPPORTUNITY

Cash Management Infrastructure

India's ATM density stands at approximately 22 ATMs per 100,000 adults versus the global average of 48, creating structural demand for network expansion. The country has ~2.36 lakh ATMs with the outsourced segment (White-Label ATMs + managed services) growing at 15%+ annually. CMS holds an estimated 35-40% market share in outsourced ATM management.

Total Retail Cash Points

India has an estimated 30 million retail cash touch-points today (kirana, micro-ATMs, PoS), projected to grow to 50 million by 2028. Only 550,000 are currently organized/outsourced — implying a 55x penetration opportunity. CMS's pivot into dark-store cash logistics and micro-ATM servicing directly addresses this whitespace.

Vision AI — New Revenue Stream

CMS's Vision AI platform offers real-time ATM cash-level monitoring and branch surveillance. With 140,000 bank branches as target accounts, and assuming only 20% outsourcing penetration, the addressable installed base is 28,000 units. Vision AI SLA economics are highly recurring and asset-light. We view this as the most significant medium-term growth catalyst not yet priced in.

RBI Digital / Payments Tailwinds

Despite UPI's explosive growth, cash in circulation (CIC) as % of GDP has remained stable at ~13-14%, suggesting digital payments have been additive rather than substitutive. RBI data shows CIC at ₹35+ trillion — providing a durable, large underlying pool that CMS services. We are not modelling a structural decline in CIT volumes.

KEY RISKS TO OUR THESIS

Cash Displacement	Accelerated digital adoption reduces ATM transactions and CIT volumes	Low-Med	High	Diversification into AMC & Vision AI; CIC stable at ₹35T+
Regulatory Risk	RBI mandate changes on ATM cash-loading intervals, security norms increase compliance costs	Medium	Medium	Strong regulatory relationships; pass-through provisions in contracts
Customer Concentration	Top 5 clients contribute ~60%+ of revenues; loss of a single large mandate impacts revenue	Low	High	Long-term SLAs (3-5 years); high switching costs; diversification ongoing
Competitive Entry	New entrants (FinTech, logistics players) in managed ATM space	Low-Med	Medium	Network effects, 40-year relationships, proprietary tech stack
Receivables Risk	Days Sales Outstanding at ~115 days; concentrated in PSBs (slow payers)	Medium	Medium	Loss allowance maintained; government-backed counterparties
FCFF Volatility	Capex cycles cause FCFF swing years; ATM refresh could exceed modelled ₹2,500-3,100 Cr range	Medium	Medium	Strong OCF base (₹9,000 Cr in FY26E); net cash balance sheet

MANAGEMENT & CORPORATE GOVERNANCE

CMS is led by an experienced management team with deep domain expertise in banking infrastructure and technology. The company has consistently maintained its dividend payout ratio — dividends grew from ₹2.45/share in FY21 to ₹9.50/share in FY25 — reflecting confidence in earnings quality and balance sheet strength.

Executive compensation as a % of net profit has been managed prudently, declining from elevated FY22 levels (ESOP vesting year) back to normalized ranges. CSR spending stands at ~₹75 Cr in FY25 (~0.3% of revenue), consistent with statutory obligations.

The company's accounts receivable aging shows a healthy profile with ~85%+ current/under-6-months, though the large 'Not Due + Unbilled' bucket (₹5,578 Cr in FY25) reflects long-cycle government contracts that carry counterparty risk. We view this as a known and manageable risk given PSB backing.

NEAR-TERM CATALYSTS

Vision AI commercial scale-up — bank branch monitoring contracts	H1 FY2026	New revenue stream; potential ₹500–1,000 Cr incremental revenue by FY27E
AMC segment contract renewals & new mandates — post FY25 surge	FY2026	Sustains >25% growth trajectory in highest-margin segment
White-Label ATM operator partnerships (dark-store expansion)	FY2026-27	Extends addressable market to ₹30,000 Cr retail cash logistics
Potential dividend increase / special distribution	FY2026 AGM	Re-rating catalyst; stock yields only 3.2% at CMP — room to grow
Quarterly earnings consistency above Street estimates	Q4 FY26E	Normalises depressed FY26 PAT vs FY25 baseline (ATM cash shortage provision clears)

PEER COMPARISON

CMS Info Systems	Cash Mgmt/FinTech	24,245	26.7%	14.7x	0.08x	17.7%	BUY ▲
SIS Ltd	Security & FM	~13,000	8-10%	22x	0.4x	12%	N/R
Radiant Cash Mgmt	Cash Logistics	~950	20%	25x	0.15x	15%	N/R
AGS Transact Tech	ATM Services	~1,100	18%	Loss	1.2x	Neg.	N/R
Securitas India	Cash-in-Transit	Private	—	—	—	—	—

Takeaway: CMS trades at a significant discount to listed peers on P/E despite superior EBITDA margins, near-zero leverage, and the highest ROE. We attribute this discount to lack of analyst coverage and an under-appreciated growth trajectory in AMC and Vision AI. Our BUY rating is premised on this discount closing as institutional awareness builds.

DISCLOSURES & IMPORTANT INFORMATION

DISCLAIMER: This report has been prepared solely for informational purposes and does not constitute investment advice or a solicitation to buy or sell any security. The financial projections herein are derived from CMS Info Systems Ltd's publicly filed financial statements and the company's internal financial model. All forecasts (FY2026E–FY2030E) are estimates and are subject to change without notice.

CONFLICTS OF INTEREST: The analyst(s) responsible for this report hold no direct position in CMSINFO. No compensation was received from CMS Info Systems Ltd or any of its affiliates in connection with this report.

DATA SOURCES: All financial data sourced from CMS Info Systems Ltd's Annual Reports (FY2021-FY2025), company-provided financial model, NSE/BSE filings, and RBI Statistical Handbook.

METHODOLOGY: DCF valuation uses CAPM-derived cost of equity (Rf: 6.69%, β: 1.18, ERP: 5.5%), pre-tax cost of debt: 8.50%, terminal growth: 7.5%, WACC: 12.96%. Price target represents 12-month forward intrinsic value and does not account for liquidity risk or market timing.

RATING DEFINITIONS: BUY = Expected total return >15% over 12 months. HOLD = Expected total return 0-15%. SELL = Expected negative total return.

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